

Document of Understanding (DoU)

Project Name

Capital Market Facility Status Indicators Enhancement for CARM

Version

1.0

Document Purpose

The purpose of this Document of Understanding (DoU) is to establish a common understanding between Business, Credit & Lending, WCA, and Technology teams regarding the enhancement of Capital Market Facility Status Indicators within the Credit Application Management (CARM) system.

This document captures the agreed business requirements, scope, assumptions, business rules, reporting requirements, administration requirements, and integration requirements prior to detailed functional and technical design activities.

1. Background

The Credit Application Management (CARM) system is used to create, review, recommend, approve, decline, and maintain Credit Applications.

Currently, facility-level status information is maintained using a single Status Indicator field.

To support Capital Market Facility Status Indicators and improve governance, review, reporting, and downstream integration requirements, enhancements are required to:

- Capture additional facility status indicators.
 - Enforce business validation rules.
 - Support facility-level override justification.
 - Provide review confirmation during recommendation, approval, and decline processes.
 - Provide reporting capability.
 - Expose approved facility status information for HUB consumption.
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2. Business Objective

The objectives of this enhancement are to:

1. Capture and maintain Capital Market Facility Status Indicators at facility level.
 2. Ensure facility classification aligns with underlying facility documentation and business requirements.
 3. Improve governance and review controls during recommendation, approval, and decline activities.
 4. Provide reporting visibility for Credit & Lending, WCA, and other authorized users.
 5. Make approved facility status information available for HUB consumption through existing integration architecture.
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3. Scope

3.1 In Scope

The following areas are included within the scope of this enhancement:

3.1.1 Facility Page Enhancements

- Introduction of Capital Market Facility Status Indicators.
- Automated population of facility indicators based on business logic tables.
- Facility-level override functionality.
- Facility-level justification comments.
- Validation of facility indicators.
- Validation of Syndicated/Bilateral facilities.
- Validation of Non-standard Security Documents.

3.1.2 Recommend / Approve / Decline Enhancements

- Mandatory review confirmation prior to recommendation.
- Mandatory review confirmation prior to approval.
- Mandatory review confirmation prior to decline.
- Guidance for report review before action submission.

3.1.3 R&NR Reporting

- Read-only reporting capability.
- Data grid presentation.
- CSV export functionality.
- Facility status reporting.
- Validation exception reporting.
- Confirmation audit information.

3.1.4 Logic Table Administration

- Maintenance of Facility Type logic.
- Maintenance of Purpose Code logic.
- Create functionality.
- Read functionality.
- Update functionality.
- Soft Delete functionality.

3.1.5 HUB Integration

- Exposure of facility status information.
 - Exposure of approved credit application facility data.
 - Support for HUB consumption through existing integration architecture.
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3.2 Out of Scope

The following items are outside the scope of this enhancement:

- Changes to existing Purpose Code functionality.
 - Changes to existing Credit Application workflow.
 - Changes to existing Resubmit functionality.
 - Changes to existing approved Credit Applications.
 - Changes to existing Function Access Code framework.
 - Cancellation Credit Applications where Facility Proposed Amount equals zero.
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4. Current State

Currently:

- Facility status is maintained through a single Status Indicator field.
 - Purpose Code functionality already exists.
 - Credit Applications follow the existing workflow:
 - Create
 - Recommend
 - Resubmit
 - Approve
 - Decline
 - Existing approved Credit Applications continue to operate using the current solution.
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5. Future State

The solution will introduce Capital Market Facility Status Indicators consisting of:

- Advised
- Committed
- Unconditionally Cancellable

These indicators will be maintained at facility level and will support:

- Automated population.
 - Override controls.
 - Justification comments.
 - Validation checks.
 - Reporting.
 - Review confirmation.
 - HUB integration.
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6. Business Requirements

BR-01 Facility Page Enhancements

BR-01.01 Status Indicator Replacement

For applicable Credit Applications, the existing Status Indicator field shall be replaced by:

- Advised
- Committed
- Unconditionally Cancellable

BR-01.02 Existing Status Indicator

The existing Status Indicator field shall remain available for historical approved Credit Applications.

No changes shall be made to existing approved Credit Applications.

BR-01.03 Advised and Committed Population

The Advised and Committed indicators shall be automatically populated based on Facility Type using a maintained business logic table.

BR-01.04 Unconditionally Cancellable Population

The Unconditionally Cancellable indicator shall be automatically populated based on Purpose Code using a maintained business logic table.

BR-01.05 Override Functionality

Facility-level override capability shall be provided for:

- Advised and Committed
- Unconditionally Cancellable

BR-01.06 Override Justification

Override justification shall be maintained at facility level.

BR-01.07 Comment Requirement

When an override checkbox is selected:

- A comment section shall be displayed.
- A comment shall become mandatory.
- Maximum comment length shall be 250 characters.

BR-01.08 Active Status Restriction

Facility indicator modifications shall only be permitted when the Credit Application is in Active status.

BR-01.09 Read-Only Behaviour

When override is not selected:

- Related status indicators shall be read-only.
- System-generated values shall be retained.

BR-01.10 Validation Rules

Validation rules shall be implemented for:

- Syndicated facilities.
 - Bilateral facilities.
 - Non-standard Security Documents.
 - Facility status indicator consistency.
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BR-02 Recommend / Approve / Decline Enhancements

BR-02.01 Review Confirmation

Users performing Recommend, Approve, or Decline actions shall confirm that facility status indicators have been reviewed and verified.

BR-02.02 Mandatory Confirmation

The confirmation shall be mandatory before action submission.

BR-02.03 Facility Review

Reviewers shall not modify facility indicators during Recommend, Approve, or Decline activities.

BR-02.04 Resubmission

Where facility indicators are determined to be incorrect, the existing Resubmit process shall be used.

BR-02.05 Report Guidance

Users shall be informed of the availability of the facility status report prior to action submission.

BR-03 R&NR Reporting

BR-03.01 Report Access

The report shall be available through:

Others → R&NR Report

BR-03.02 Report Type

The report shall be read-only.

BR-03.03 Data Grid

The report shall support data grid presentation.

BR-03.04 CSV Export

The report shall support CSV export.

BR-03.05 Search Capability

The report shall support searching and filtering using available report criteria.

BR-03.06 Report Contents

The report shall include:

Header Information

- Relationship ID
- Serial No
- Generated Date
- Credit Application Status

Facility Information

- Facility Number
- Facility Type
- Advised
- Committed
- Override Status
- Override Comments
- Purpose Code
- Unconditionally Cancellable
- Override Status
- Override Comments
- Validation Errors / Exceptions
- Last Updated By
- Last Updated Date and Time

Confirmation Information

- User
- Action
- Confirmation Status
- Date and Time

BR-04 Logic Table Administration

BR-04.01 Facility Type Logic

The solution shall support maintenance of Facility Type logic used to derive:

- Advised
- Committed

BR-04.02 Purpose Code Logic

The solution shall support maintenance of Purpose Code logic used to derive:

- Unconditionally Cancellable

BR-04.03 Administration Functions

The solution shall support:

- Create
- Read
- Update
- Soft Delete

BR-04.04 Soft Delete

Hard delete shall not be supported.

BR-05 HUB Integration

BR-05.01 Facility Status Availability

Facility status information shall be made available for HUB consumption.

BR-05.02 Approved Applications

Approved Credit Application facility status information shall be available for extraction.

BR-05.03 Application Status

Application Status shall be included in the information made available for consumption.

BR-05.04 Pagination Support

The solution shall support pagination for integration consumption.

7. Business Rules

ID	Business Rule
BRR-01	Advised and Committed values shall be derived from Facility Type.
BRR-02	Unconditionally Cancellable value shall be derived from Purpose Code.

ID	Business Rule
BRR-03	Override is permitted only when Credit Application status is Active.
BRR-04	Override justification is mandatory when override is selected.
BRR-05	Comment length shall not exceed 250 characters.
BRR-06	Recommend, Approve, and Decline require review confirmation.
BRR-07	Facility indicators cannot be modified during Recommend, Approve, or Decline activities.
BRR-08	Existing approved Credit Applications shall remain unchanged.
BRR-09	Validation rules shall be enforced for Syndicated/Bilateral facilities.
BRR-10	Validation rules shall be enforced for Non-standard Security Documents.
BRR-11	Cancellation Credit Applications with Facility Proposed Amount equal to zero are excluded from this enhancement.

8. Assumptions

1. Credit & Lending Team and WCA are the owners of the business logic and validation rules.
2. Existing approved Credit Applications remain unchanged.
3. Existing Status Indicator values remain available for historical approved applications.
4. Users who can access facilities can access the R&NR report.
5. Existing workflow actions remain unchanged.
6. Existing Resubmit functionality remains unchanged.

9. Dependencies

- Facility Type reference data.
- Purpose Code reference data.
- Existing Credit Application workflow.
- Existing facility maintenance functionality.
- Existing recommendation, approval, and decline processes.
- HUB consumption requirements.

10. Acceptance Criteria

The solution shall be considered accepted when:

1. Facility indicators are automatically populated according to approved business logic.

2. Override controls operate according to agreed business rules.
 3. Mandatory justification requirements are enforced.
 4. Recommend, Approve, and Decline confirmation controls are enforced.
 5. Validation rules operate as defined.
 6. R&NR report is available in Data Grid and CSV formats.
 7. Logic table administration functions operate correctly.
 8. Approved facility status information is available for HUB consumption.
 9. No impact is introduced to existing approved Credit Applications.
 10. Cancellation Credit Applications with Facility Proposed Amount equal to zero remain unaffected.
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11. Sign-Off

Role	Name	Signature	Date
Business Representative			
Credit & Lending Representative			
WCA Representative			
Technology Representative			